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# Research Briefing | Germany

## Push for carbon neutrality to get limited fiscal support


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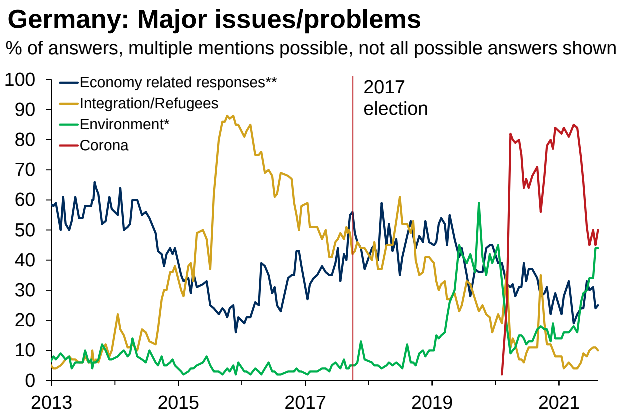
- **The race to succeed long-term Chancellor Merkel and lead Europe's largest economy is wide open. But we think Germany will continue its reactive, consensual, and inward-looking policy approach irrespective of the coalition. Major progress on key European or domestic policy needs isn't likely, with a modestly accelerated greening of the economy the most probable outcome.**
- **A CDU-Green coalition has long been seen as the most probable coalition. But both parties have lost support, making a more complicated tri-party alliance – potentially not led by the CDU – more likely. Yet, all feasible coalitions mix parties from the centre-left and centre-right, thus limiting odds of great change.**
- **All relevant parties promise to set Germany on the path to climate neutrality. The Greens offer the most ambitious timeline, but the bigger difference to other parties is on implementation. The Greens favour a more dirigiste approach, while the CDU and FDP want to rely primarily on market-based mechanisms.**
- **A modest loosening of Germany's structural fiscal stance is possible, but not a done deal. Greens favour a debt-financed splurge on public, green investments, while CDU and FDP are keen on cutting taxes, back a swift return to balanced budgets, and oppose a loosening of the EU's fiscal rules.**
- **A drive towards more EU fiscal integration is unlikely. In contrast to CDU and FDP, Greens and SPD support more growth-friendly EU fiscal rules and making the EU's debt-financed funds permanent to prop up investment. But they may well sacrifice those priorities to promote their domestic initiatives.**
- **Key domestic challenges such as demographic change and very large current account surpluses have very little chance to be forcefully addressed.**

**Figure 1: Voters see the environment as the key issue now that the pandemic is easing**



Source: Oxford Economics/Forschungsgruppe Wahlen (*incl. energy transition; **unemployment, economic sit., pensions, health care, housing)

The issues that German voters care most about have shifted greatly since the last election. At that time, the refugee crisis and immigration still held a leading place along with economic concerns. But the current campaign is mostly focused on environmental issues.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## The race to lead Germany is wide open

The next four years will be pivotal for Germany. Combating climate change and achieving carbon neutrality are among the key challenges that need to be tackled more forcefully immediately, if there is to be any chance of meeting the climate commitments. This alone will have far-ranging social, political, economic, and sectoral implications. In addition, intensifying demographic change together with the economic as well as fiscal repercussions of the pandemic will also present major domestic tests for any future government.

With Chancellor Angela Merkel not running again after 16 years in office, the door has been left wide open for her potential successors and their parties to make their case and offer a new direction to Germany. However, the campaigns and public debate have severely lacked substance so far, and with just a few weeks to go to the September 26 election, it is unlikely that any party or coalition will attain a clear mandate by voters to implement significant change.

According to the most recent polls, it is unlikely that any two-party coalition will get a majority in the lower house of parliament, the Bundestag (**Figure 3**), as the CDU and Greens, long seen as the most likely option to succeed the current CDU-SPD stich-up, lost its lead due to gaffes or the weakness of their lead candidates. A three-party deal would be a first in Germany's post-war history, but the parties have prepared for this eventuality by offering fairly vague manifestos. Yet, none of the politically feasible three-party coalition options garners much public support (**Figure 4**).

## Reactive and consensus-oriented policy approach here to stay

The recent volatility in the polls, the closeness of the race, and the high number of potential coalition options means that there isn't an obvious base case. What's more, it will likely be months before a new coalition government is formed. After the last election, it took four months – and that was with a much less complicated political landscape. This would imply a strong status-quo bias, both within Germany and at a European level, until at least early-2022, by which time the French presidential election campaign will take off. However, while the exact makeup of the future German coalition is highly uncertain, we are not convinced that any of the options would represent a significant departure from Germany's current macroeconomic trajectory. Thus, we are unlikely to make material forecast changes irrespective of the makeup of the next coalition.

**Figure 2: Pandemic, campaign mishaps, and weak candidates caused large swings in polls**

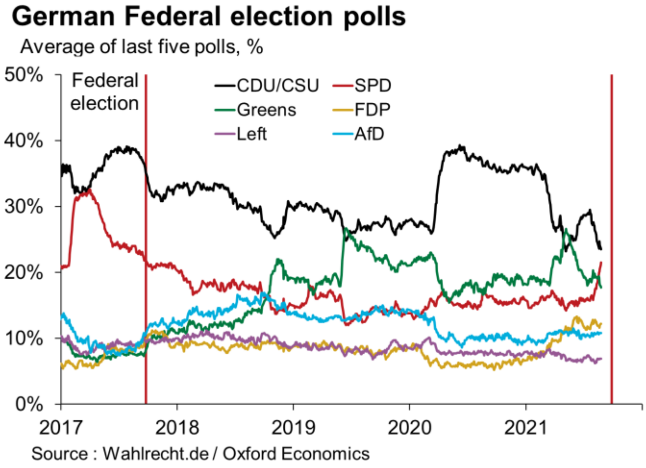



**Figure 3: Large number of politically feasible coalition options**

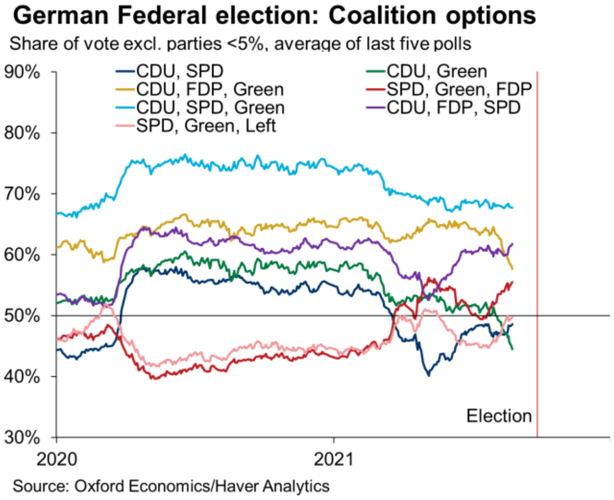
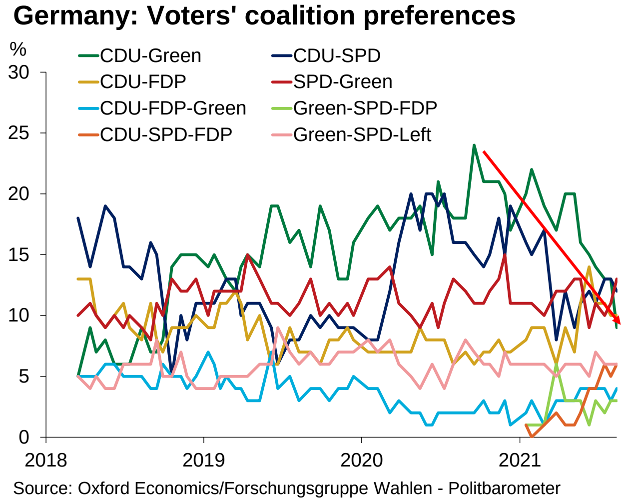



**Figure 4: Backing for CDU-Green coalition has faded, leaving no clear voter favourite**





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First, any of the politically feasible coalition options requires the cooperation of centre-right (CDU or FDP) and centre-left parties (SPD or Greens).

Second, voters don't appear to be too keen on change. Two-thirds of voters assess the coalition's performance as good, more than in the early stages of the term. And a similarly large share assesses its own economic situation positively, as the government's robust fiscal policy response sheltered households and the hardest-hit businesses from the worst of the pandemic much better than other countries (**Figures 5** and **11**). So, the growth outlook is good. And while voters see the environment as more of an issue than the economy – a big shift from the last election campaign in 2017 – that hasn't translated one-for-one into higher polls for the Greens, which have the most ambitious plan to fight climate change (**Figures 6** and **12**). This suggests that voters acknowledge the need for change, but that they may be wary of a too proactive and forceful change of direction.

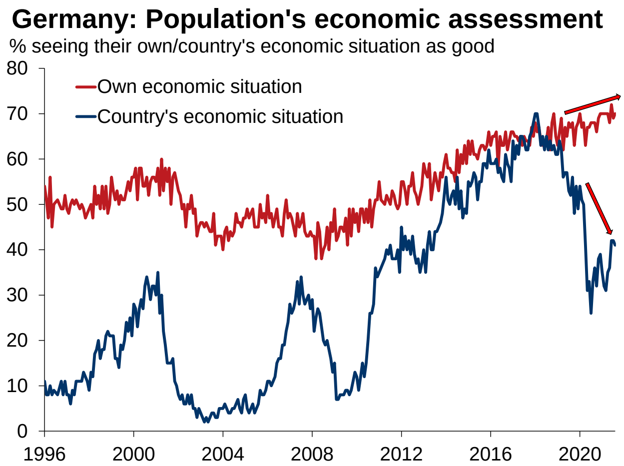
In total, we think that German policymaking will continue to be marked more by gradual progress and a need to respond to events (and crises) than by a clear strategy to tackle existing problems proactively. And Germany's policies will continue to be middle-of-the-road as they will likely need to reflect views of a broad set of parties.

## More aggressive push on climate neutrality…

The lack of clarity about the future governing coalition also makes it hard to identify potential policy shifts that emerge from the horse-trading. The policy area that will likely see the most legislative action in any constellation is climate change. The Green party offers the most ambitious climate neutrality target (**Figure 7** and **Table 1** in appendix), but the parties are unlikely to deviate much from current government policy.

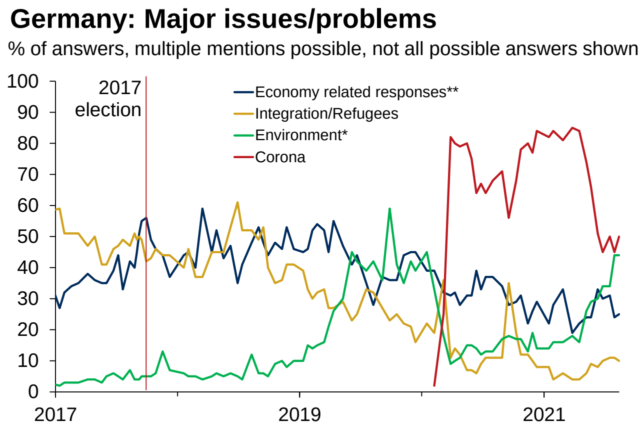
The more consequential and contested question will be how to reach those targets, as this is something the CDU/SPD coalition has only partially fleshed out, with unpublished government projections suggesting Germany is on track to cut emissions 49% by 2030 compared to the targeted 65%. There is agreement between parties on some policies, though. Integrating more sectors into the EU's emission-trading system aligns well with existing EU plans ("Fit for 55"), would remove the need for domestic CO2 taxes, and would likely offer a more effective pricing tool to incentivise firms and households to cut emissions. The next government also looks likely to support EU initiatives for a border adjustment tax or an equivalent measure that helps

### Figure 5: Population's assessment of its own economic situation improved despite pandemic



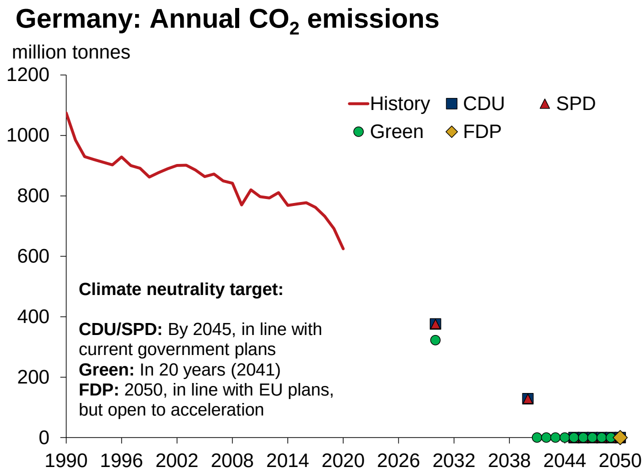

Source: Oxford Economics/Forschungsgruppe Wahlen-Politbarometer

### Figure 6: As pandemic eases, environmental issues become key in voters' view again




Source: Oxford Economics/Forschungsgruppe Wahlen (*incl. energy transition; **unemployment, economic sit., pensions, health care, housing)

### Figure 7: Green party offers most ambitious CO2 reduction path, FDP the least




Source: Oxford Economics/Umweltbundesamt to shelter German industry from non-EU competition.

However, beyond that there is ample room for parties to disagree. CDU and FDP want to primarily rely on CO2 price signals to curb emissions. In contrast, the Green party plans a mixture of tighter regulation and stronger incentives as well as subsidies for almost all sectors to reinforce price signals. The Greens also want to raise public investment by EUR 50bn per year (1.4% of GDP) for a decade to support the greening of the economy. Negotiations about these aspects will be tough and will have ample sectoral and redistributive implications, but that is unlikely to derail coalitions talks.

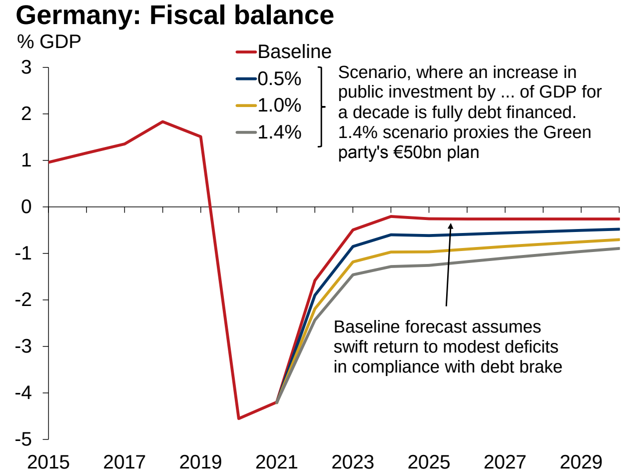
### …with limited fiscal support

An accelerated transformation of the economy is only one of many costly plans. Parties are also proposing significant tax cuts, which especially in the case of the CDU and FDP are not offset through tax increases elsewhere. The manifestos offer even less detail than in previous campaigns, though, and parties tend to add the caveat that plans are dependent on available financing. The key question, thus, is whether the next government will ease Germany's structural fiscal balance by reforming or circumventing the national public debt brake, which limits structural deficits to 0.35% of GDP.

The Greens want to exclude public net investment from the debt brake's deficit rules, in order to debt finance their public investment binge. In sharp contrast, CDU and FDP say they want to return to balanced budgets and sub-60% of GDP public debt quickly. However, there is likely some room for manoeuvre. CDU lead candidate Armin Laschet is open to "new ways to finance investment". And the FDP is keen on delivering at least some of their proposed tax cuts, while the SPD is likely open to reform despite not calling for it openly.

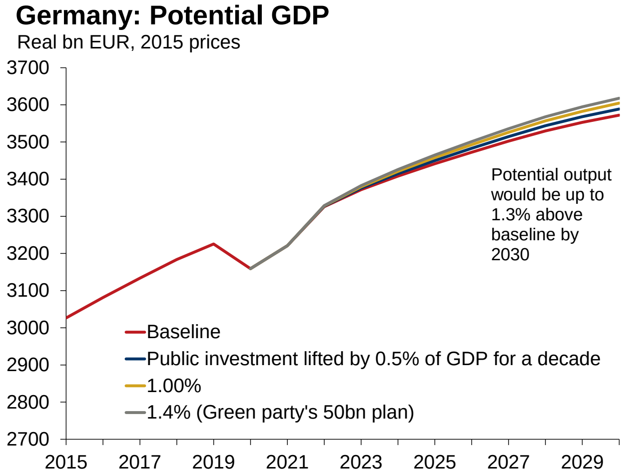
Overall, it appears that the next coalition may show a greater openness for a looser fiscal stance. But the necessary two-thirds majority to fundamentally reform the constitutional debt brake still seems unlikely, so we think some tweaks, or a circumvention are more plausible. Still, a debt-financed investment splurge would be beneficial for the economy (some illustrative scenario results in **Figures 8**, **9**, and **13**). However, construction firms face severe capacity constraints, which the pandemic has barely dented. So, we think that sizeable public investment plans would face implementation hurdles and delays, making the scenario with the least additional spending the most plausible.

**Figure 8: A looser fiscal stance post-election is possible, but far from guaranteed**



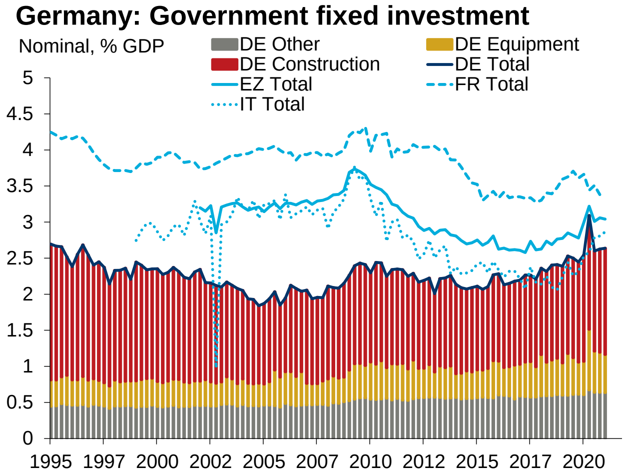

Source: Oxford Economics/Haver Analytics

**Figure 9: A debt-financed investment spree would lift Germany's growth**




Source: Oxford Economics/Haver Analytics

**Figure 10: German public investment catches up only gradually due to supply bottlenecks**




Source: Oxford Economics/Haver Analytics

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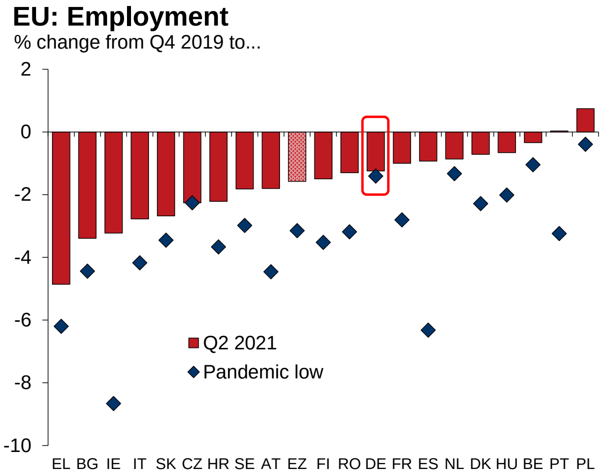
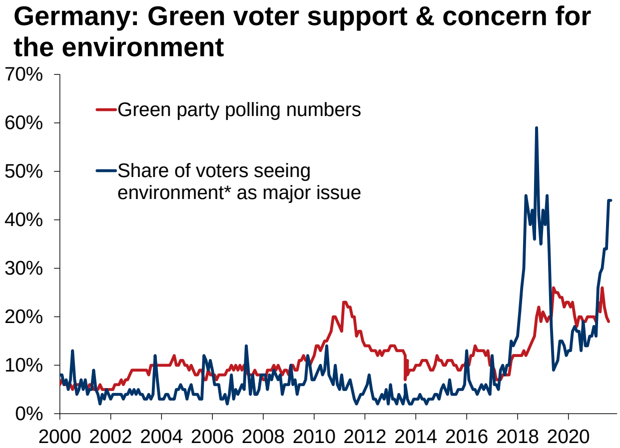
**Figure 11: Strong fiscal response and existing furlough scheme protected German workers**



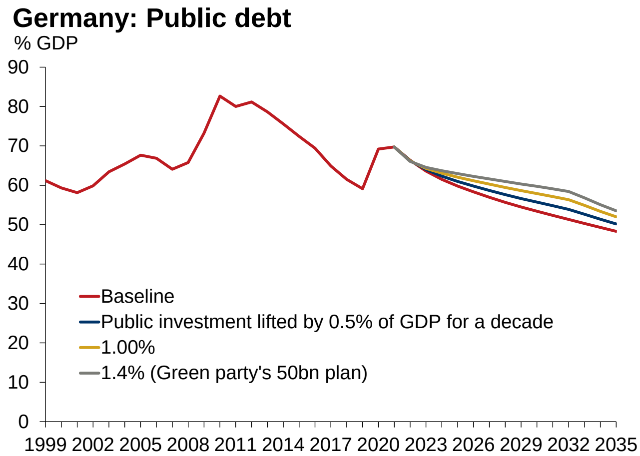

Source: Oxford Economics/Haver Analytics (Q2 2021 data partially OE est.)

**Figure 12: Voters increasingly care for the environment but Greens only partially benefit**




Source: Oxford Economics/Forschungsgruppe Wahlen/Wahlrecht.de (*incl. energy transition)

**Figure 13: Higher public investment would only slow not stop the decline in public debt**




Source: Oxford Economics/Haver Analytics

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**Table 1: Key policy priorities by main parties**

| | | CDU | Green | SPD | FDP |
|---|---|---|---|---|---|
| Environment | **Climate neutrality** | By 2045 | In 20 years | Latest by 2045 | Keep 2050, open to EU-wide accel. |
| | **CO2 reduction** | 65% by 2030 vs. 1990, 88% by 2040 | 70% by 2030, 100% renewables by 2035 | 65% by 2030 v.s 1990, 88% by 2040 | As required by climate targets |
| | **Exit from coal** | Keep 2038 target, but open to faster CO2 price driven exit | By 2030, driven by CO2 prices (ETS) or nat. min. CO2 price | - | - |
| | **EU ETS** | Include transport & heating emmissions, use revenues to cut electricity taxes | Cut certificates to accel. private sector adj.; raise nat. CO2 price for heating & transp., return rev. to HHs | No additional measures mentioned | Extend to all sectors |
| | **Carbon leakage** | Support EU Carbon Border Adjustm. Tax | Carbon Contracts for Difference | - | WTO-compl. carbon leakage protec. |
| Fiscal policy | **Debt brake** | No chg., likely open to tweaks, return to balanced budgets & sub-60% debt fast | Excl. net investment from deficit limit | No changes proposed | No changes proposed, swift return to sub-60% debt |
| | **Income tax policy** | Similar to FDP | Cut taxes for small & medium income HHs, raise taxes for top income earners | | <-- similar, but no offseting hike for high income earners |
| | **Solidarity surcharge** | Abolish / phase-out | - | Keep as is, highest 10% income still pay | Abolish |
| | **Corporate taxes** | Cut towards OECD average of 25% | - | - | Cut towards OECD average of 25% |
| | **Public inv-estment** | Sustain "record" infra. invest. levels | Add. €50bn p.a. for a decade | Sustain current level of at least €50bn p.a. | No specifics |
| Domestic | **Pension system** | add. capital-based pension fund | Stable pension lvls, increase revenue by extending coverage to more groups, more flexible retir. Age, add. capital-based pension fund | Stable pension lvls, increase revenue by extending coverage to more groups, unchg. retir. Age, new optional capital-based pension option | More flexible system to facilitate job changes; flexbile retire. Age; mandatory, supplem. capital-based pension |
| | **Immi-gration** | Various moderate measures to facilitate & simplify immigration process, in order to boost number of non-EU migrants | | - | See CDU/Green |
| EU | **Fiscal inte-gration** | Recovery fund a one-off; against a "transfer union" or debt/risk | Permanent RRF under EU parl. Control & increase EU's own resources | Make RRF permanent | Common debt issuance a one-off; No add. EU taxes |
| | **New fiscal rules** | Improve existing rules w/o losening them | Prevent premature tightening & supp. public invest.; make policy more counter-cyclical to reduce pressure on ECB | Develop stability and growth pact into sustainability/invest ment pact | re-apply old rules with tougher sanctions |
| | **ESM** | Facilitate adjustment and introduce option for managed default | Make into EMF, unconditional short-term credit line | - | Make into EMF, control macro adj. programs, fiscal watch-dog |
| | **Banking union** | Complete once national risks reduced | Complete incl. bloc-wide guarantee for savings | Complete it | Opposed to EDIS |

Source: Oxford Economics/Party programs